

Question:

Josh decides to try flipping a house. He buys a house for \$80,000 and then puts in \$50,000 in repairs. This increased the value of the house by 150%. How much profit did he make?

Reasoning + Answer:

<think>
To find the profit made by Josh , we first need to calculate the increased value of the house after the repairs . The original value of the house was \$ 80 , 000 , and the repairs increased its value by 150 %.

Let 's denote the increased value of the house as x . We can set up an equation to represent this situation :

Original value + Increase in value = New value

80 , 000 + 0 . 15 * 80 , 000 = x

80 , 000 + 12 , 000 = x

x = 92 , 000

This means the value of the house after the repairs is \$ 92 , 000 . Now , we need to find the total cost incurred by Josh , which is the sum of the initial purchase price and the repairs .

Total cost = Initial purchase price + Rep a i r s

Total cost = 80 , 000 + 50 , 000

Total cost = 130 , 000

To find the profit made by Josh , we subtract the total cost from the new value of the house .

Profit = New value - Total cost

Profit = 92 , 000 - 130 , 000

Profit = - 38 , 000

However , this is not the correct answer . The profit cannot be negative . This is because the question asks for the profit made by Josh , which is the difference between the selling price and the total cost . Since the selling price is not provided , we can assume that Josh sold the house for its new value , which is \$ 92 , 000 .

So , the correct calculation is :

Profit = Selling price - Total cost

Profit = 92 , 000 - 130 , 000

Profit = - 38 , 000 is not the correct answer . The correct answer is the difference between the selling price and the total cost . Since the selling price is 92 , 000 , the profit is 0 .

However , the question asks for the profit made by Josh . The profit made by Josh is the difference between the selling price and the total cost . The total cost is 130 , 000 and the selling price is 92 , 000 . The profit is 0 .

</think>< answer > 0 </answer>